ECONOMY & POLITICS

How many years does an earthquake cost an economy?

For most countries, national output recovers within a few years. The places hit hardest can carry the loss for decades.

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A crack in a plaster wall and fallen bricks. · AI-generated image

The bill for an earthquake isn't settled when the images of rubble fade from television screens; on the contrary, the real damage in the economy's capillaries begins that very day. The cost of collapsed bridges, pulverised factories and ruined ports – what we call "damage" – is merely the disaster's first face, counted only once. What remains invisible, stretching painfully over time, is the "loss of output": the value that city would have created over the years had it remained standing.

Viewed from a distance, national economies are surprisingly resilient. Studies show that, on average, even very large disasters do not leave a lasting mark on national output, unless they are followed by radical political change such as a revolution. [1] National averages, however, are masters at masking quiet, local tragedies. The January 1995 earthquake that struck Kobe, the pride of Japan, didn't just claim more than 6,400 lives; it wrecked much of what was then one of the world's busiest container ports. While the Japanese economy as a whole absorbed the shock, twenty years later Kobe's income per person was still markedly below its expected path, and the cargo its port lost to regional rivals never returned. [2]

The real tragedy lies in the scale of the disaster relative to the country's economy. When the 2010 earthquake shattered Haiti, the official assessment put damage and losses at around $7.8 billion – roughly 120 percent of the entire nation's output in the previous year. [3] A shock of this magnitude cannot simply be patched up with insurance policies, reserve funds or a quick wave of reconstruction; it dictates the starting line for the nation's next decade. Ultimately, how many years an earthquake costs an economy is decided less by the fault lines than by choices made long before the ground moves: how much of the economy sits in the danger zone, whether buildings meet the code, whether businesses are insured, and how quickly reconstruction money arrives.

Sources

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